



For professional investors only | markets 2026-07-24/23 mixed · inflation June 2026 | As-of 2026-07-25 · Saturday | Reading time ≈ 4 minutes | Publisher: KRINO — published by A.G.

Tanker traffic through the Strait of Hormuz fell about 70 percent and crude touched \$100. The scored panel did not move.

Stress CALM · Inflation **WATCH** · Evidence strength Low · inflation regime WATCH since 2026-03 — fourth live reading

THE RECORD — regime history



Market-stress regime unchanged and calm. Equity volatility closed the week at 18.70, effectively where it started it (18.77); the S&P; 500 was down 0.6% on the week and the Nasdaq down 2.1%; the yield curve steepened to +0.36, further from inversion; the high-yield credit gap held at 1.11 against a 1.44 tripwire; jobless claims printed 187,000, a six-month low, and were not revised. The vessel-traffic and energy readings moved the other way: the shipping-data vendor Kpler reported crossings of the Strait of Hormuz down about 70 percent with traffic shifted almost entirely to the Iranian route, and Brent crude touched \$100 for the first time since 2022 before pulling back. Within the week there was a single session in which volatility rose 12 percent and the semiconductor index fell 4.3 percent — but that index finished the week up 1.2 percent, so the move was one day, not a trend, and it is reported that way. Between scheduled releases the published state moves only on the pre-registered falsifiers below — headlines and commentary, including this report's own, change nothing by themselves.

WHAT WOULD PROVE THIS WRONG

- ☐ Jobless claims sustained above 300,000
- ☐ Yield curve back below zero
- ☐ High-yield credit through its divergence tripwire
- ☐ Sixth straight month of CPI ≥ 4% year-over-year

Hash-committed before publication · verify github.com/foxtrot76/krino-commitments

The thesis

Active reading (≈70%)

The central observation this period is not a state change but a widening disagreement between the physical supply picture and the scored financial panel — and the reason the panel did not move is the substance of this section. This is the third consecutive period without a state change, and the gap between the two columns is now the report's main observation rather than an aside. On the scored side: volatility flat on the week, credit spreads widened by nine basis points on both the high-yield and BB legs — so the gap between them, which is the instrument that would signal transmission, did not move at all — and the curve steepened away from inversion. On the observed-but-unscored side: chokepoint transit down about 70 percent with traffic rerouted to one side of the strait, and crude at a level not seen since 2022. Credit did not confirm the physical reading; that non-confirmation is itself the pre-registered condition for staying in the current state, and it held.

Strongest opposing case (≈20%)

The calm reading may be correct and the physical reading may be transient. Crude has round-tripped on this conflict more than once, and transit volumes have recovered before; a re-opening would remove the divergence without any scored signal having been wrong. Credit spreads widened equally on both legs, which is consistent with a general repricing rather than the onset of stress, and the equally-weighted move is the reason the divergence instrument stayed flat. The inflation side is arming less, not more: months at or above 4 percent year-over-year fell from two of six to one of six as June's 3.53 percent replaced an earlier qualifying month. A reader who concluded that nothing is happening would be reading the scored panel correctly.

Rejected alternatives (≈10%)

Alternative	Rejected because
Acute market-stress regime	Volatility 18.7, curve +0.36, credit gap 1.11 against a 1.44 tripwire — no scored stress
Inflation regime confirmed	One of six qualifying months; June printed 3.53%, below the 4% bar
All-clear / watch retired	Transit down ~70%, crude at \$100; high-yield and BB widened the same nine basis points so the divergence instrument did not move — the panel is calm, the physical picture is not

The evidence

Signal	Reading	Threshold	Status
Equity volatility (VIX)	18.70	< 20	calm
S&P 500	7,412	—	−0.6% on week
Yield curve (10y – 2y)	+0.36	> 0	positive, steepening
High-yield credit gap	1.11 divergence	< 1.44	benign, unchanged
Initial jobless claims	187,000	< 300k	six-month low
Market-stress index	53rd percentile	90th = elevated	below bands

Inflation-regime axis

Component	Value	Threshold	Fires
CPI, year-over-year	3.53%	≥ 3%	yes
CPI, 3-month annualised	4.61%	≥ year-over-year rate	yes
Months ≥ 4% year-over-year	1 of 6	6 to arm	no
Real policy rate	≈ +0.1%	≤ −1.0%	no
Real-equity erosion	—	depressed	no

Method

Coverage map — maturation: **Observed** → **Monitored** → **Instrumented** → **Scored**

Coverage area	Stage
Market stress — vol, credit, liquidity	Scored
Inflation regime	Scored (live)
Labour slack	Scored
Commodity / energy shocks	Monitored
Private credit	Watch
Geopolitics / chokepoints	Observed

Named blindspots

A disclosure this period rather than a general statement. The report's own crude-oil series last printed on 20 July at \$86.99; independent reporting places the market at or around \$100 over the days since. That thirteen-dollar difference is NOT an error in the series — it is four days of a fast-moving market the series has not published yet. The source releases with a multi-day lag, so at a Friday close this reading is structurally three to four days behind, every week, by design rather than by failure. A timely front-month reading is being added alongside it; the slower series is kept as the settled record because the two are different instruments and substituting one for the other silently would be worse than the lag. The front-page reading above rests on the vessel-traffic measure, which is a different observation rather than a stand-in for a price — the report can still see ships; it cannot yet see Friday's barrel. Separately and as standing limitations: commodity and energy supply shocks are monitored but not scored; the stress panel is structurally insensitive to inflationary regimes, partially covered by the inflation-regime axis; private-credit stress is not visible in public spreads and is watched, not scored.

Live forward tests

Labour-slack sign — reg. 2026-06-23; **grades 2026-08-07** (in 13 days)

Machine-generated labour-drift idea — reg. 2026-07-23; **resolves 2026-07-30 on the claims print** (in 5 days)

Inflation-regime transition — live; **next test: August print (3-month window rolls)** (monthly)

Governance

Layer status

Validated (shown as validated): market-stress axis; inflation-regime axis. Provisional — under evaluation: the multi-thesis interpretation layer, including the machine-generated idea listed in the forward tests above (dual-read shown for transparency; promoted only when its validator is operational and the evaluation phase clears).

Independent review — red-team, not user/subscriber feedback

OpenAI — gate and provenance reviews. Main concern: required that originality of generated ideas be judged by a blind outside reviewer rather than by this project, and that a verification tool declare the scope it checked; both adopted.

DeepSeek — gate and grading reviews. Main concern: refused a grade change made on a single weekly reading without a dated resolution test, and refused a verification fix that would have left the tool trusting a value it could not check; both adopted.

*Published state never moves on review count. Challenges are logged (CH-*nnn*); the state changes only on a pre-registered falsifier.*

Resolved this period: CH-004 adopted — an internal evidence claim was downgraded to a working hypothesis after reviewers showed the evidence was confounded; CH-005 adopted — this project's first machine-generated hypothesis failed external review and was demoted, published by choice rather than by obligation.

Submit a challenge (classified under the challenge-intake taxonomy): krino.reviews@gmail.com

Appendix A — Audit

For verification. Durable technical record; optional for ordinary readers.

Locks & provenance

Item	Value
Understanding-model lock	v15 8d4515ed
Thesis ontology (frozen)	v1.0 ff5466c3
Inflation Regime Sensor	r297 — frozen
Commitment log	github.com/foxtrot76/krino-commitments

Open challenges

ID	Challenge	Opened	Status	Severity
CH-009	Project may be over-inspecting its own tools while the forecast clock stands still	2026-07-25	Open — remedy deferred to Oct review	High
CH-008	Grade changed on a single weekly reading; rating asymmetry favoured the leader	2026-07-23	Adopted — dated test 30 Jul	Med
CH-007	Project should not judge the originality of its own generated ideas	2026-07-22	Adopted — blind reviewer rules	Med
CH-001	Live inflation axis unvalidated (n=1)	2026-07-06	Open — adjudicating	Med
+2 more	CH-002, CH-006 — see the challenge log	—	Logged	—

Strongest outstanding challenge

Both reviewers were asked whether this project is spending its effort in the right place, and both said no. Four consecutive governance changes went into the machinery that checks the machinery, while the clock on the project's own falsification test did not move — and nothing in the system would have noticed that happening. The charge was raised by this project against itself and then sustained independently by both reviewers. Each proposed a way to measure it; neither measure has been built, because the party that raised the objection is the wrong party to design its own scorecard unsupervised. Both proposals are logged and go to the October review. Open — remedy outstanding.

GLOSSARY

WATCH

An inflationary configuration flagged, not a confirmed regime.

Arms the regime

Meets the count needed to confirm a regime (6 months $\geq$ 4%).

Divergence tripwire

The high-yield vs BB spread gap that would signal credit stress (1.44).

Live axis

A validated signal in its first live readings (small sample).

Falsifier

A pre-registered condition that, if met, moves the state.

Method: KRINO classifies macro regimes from public data under a fixed protocol — hypotheses and their falsifiers are hash-stamped before evaluation; thresholds frozen before validation; instruments adopted only after out-of-sample validation and independent review; every revision and defect logged.

Informational research only — not an offer, recommendation, or investment advice. Data: FRED / BLS / public markets. Report source-file sha256 committed to the public log before publication.